1. Financial statements

1.1. Introduction

- The finance department prepares financial statements at every year-end
- For limited companies, these go into the annual report sent to all shareholders

Why keep financial (accounting) records

- Keeping financial records of transactions is a must
- It is useful to ask: **Why is it necessary to keep accounting records?**
- The table below shows questions that cannot be answered without accurate, detailed records of all financial transactions

Question	Why this is important?
Did we make a profit or loss last year?	Profit or loss measures business performance and is essential for managers, shareholders, and government (for taxes)
How much do we owe?	Timely payment to suppliers is necessary or they may refuse to send further deliveries
How much do customers owe us?	Cashflow crisis may arise from late payments by customers
Are we able to repay bank loans?	Loan repayment on time is essential. Failure can make further loan finance difficult to obtain
Did we pay wages to workers last week?	Delayed or unrecorded worker payments can damage manager-worker relations
Are we able to finance a dividend payment to shareholders?	Shareholders may sell shares if dividends are not paid due to financial uncertainty

1.2. Statement of profit or loss

The meaning of the statement of profit or loss

- Shows gross profit and profit from operations, detailing how profits are divided between shareholder dividends and retained earnings
- Also known as **income statement** and **profit or loss account**
- A detailed profit or loss statement is created for internal use, providing managers with essential financial information. It should be produced as frequently as managers need information, perhaps once a month
  - A less detailed profit or loss summary is included in published accounts for external users, produced at least annually
  - Each country's legislation defines its content, providing minimum information since published accounts are accessible to competitors. Detailed data could reveal rivals' strengths and weaknesses.
- The profit or loss statements in this chapter are based on the published accounts of public limited companies, with added information where it helps understanding.

The purpose of statements of profit or loss

- **The information in these statements has multiple uses:**
  - Used to measure and compare business performance over time or with other firms, often using ratios
  - Actual profit data can be compared to budgeted profit levels
  - Bankers and creditors use this information to decide on lending
  - Prospective investors assess profit performance to guide share purchases
- **Users of profit data should consider the limitations of published accounting data and the quality of recorded profit.**
  - For instance, high profit from *selling an asset above expected value* is **low-quality and non-recurring**
  - Profit from *unique product designs* is **high-quality**, as it provides ongoing profit potential.

The contents of a statement of profit or loss

A statement of profit or loss has three sections: trading account, profit or loss section, and appropriation account, each providing a different profit figure

	Details	$	
(minus)	**Revenue**	**4000**	┐
(minus)	Cost of sales	(2000)	*trading account*
(equals)	**Gross profit**	**2000**	┘
(minus)	Overheads/expenses	(1000)	┐
(equals)	**Profit from operations (Operating profit)**	1000	│
(minus)	Interest	(100)	│
(equals)	**Profit before tax**	**900**	*profit or loss section*
(minus)	Tax @ 20%	(180)	│
(equals)	**Profit for the year**	**720**	┘
(minus)	Dividends to shareholders	200	┐
(equals)	**Retained earnings**	**520**	*appropriation account*

The Trading account

- This account shows how **gross profit** (or loss) is generated from the business's trading activities
- It is **crucial** to understand that, since **not all sales are cash transactions**, the revenue figure differs from cash received. The formula for calculating total revenue is:
  - **total revenue = selling price × quantity sold**

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

- **Revenue is not profit**. Costs are *subtracted* from revenue to calculate profit. There are multiple measures of profit.
- The **cost of sales** figure usually differs from the total value of goods purchased, as some items may be added to or taken from inventories. Only goods used and sold during the year are included in cost of sales.
  - **Gross profit = revenue - cost of sales**
  - **Cost of sales = (opening inventories + purchases) - closing inventories**
- This can be shown as:

Details	$
Opening inventories (at start of the year)	500
Purchases during the year	2500
Total inventories available for sale	3000
Closing inventories (at end of the year)	1000
Cost of sales	**2000**

Profit or loss account section

- **This section of the statement of profit or loss has three profit figures:**
  - **Profit from operations (or operating profit):** Calculated by subtracting overhead expenses from gross profit. Overheads are business expenses not tied to production or sales volume, including rent, business rates, management salaries, marketing costs, and depreciation
  - **Profit before tax:** calculated by subtracting interest costs from profit from operations
  - **Profit for the year:** calculated by subtracting profit (corporation) tax from profit before tax/profit after interest

Appropriation account

- This final section of the profit or loss statement shows how annual profit is divided between shareholder dividends and retained earnings

Amendment of a statement of profit or loss

- Accountants often adjust statements when new financial data or key variables change, requiring a revised statement
- **Remember these basic rules when adapting accounts:**
  - Use the same profit or loss statement format shown in the case study.
  - Changes in units produced and sold typically affect both revenue and cost of sales
  - Some overheads, like annual promotion or transport costs, may vary with sales levels

The impact of a change on the statement of profit or loss

- The table below explains the impact on the statement of profit or loss following a change in one of components (assuming no other change occurs):

Change	Impact on statement of profit or loss
Increase in price	Revenue, gross profit, profit from operations, profit after interest, profit for the year and retained earnings will increase
Increase in direct cost per unit	Cost of sales will increase; gross profit, profit from operations, profit before tax/profit after interest and profit for the year will fall
Increase in expenses	Profit from operations, profit after interest, profit for the year and retained earnings will fall
Reduction in the rate of profit (corporation) tax	Profit after tax and retained earnings will increase
Directors decide to increase dividends	Retained earnings will fall

1.3. The Statement of Financial position

The meaning and purpose of the statement of profit or loss

- The net worth or equity of the company, the difference between its assets and liabilities
- The statement of financial position records a business's net wealth or shareholders' equity at a specific moment
- In a company, this net wealth belongs to shareholders
- Most businesses aim to grow shareholders' equity by increasing asset value beyond liability growth
- **Shareholders' equity has two main sources:**
  - The first source is the capital invested in the company through share purchases, known as share capital
  - The second source is retained earnings accumulated over time through operations. These are sometimes called reserves, which can be misleading as they do not represent cash reserves

The contents of a statement of financial position

- The table below provides an example of a statement of financial position with explanatory notes which do not appear in published accounts
- The figures are shown in two columns to clarify how subtotals are calculated
- In published accounts, all figures appear in one column, and your own statements can also be presented in a single column

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

Details	$	$	Notes
Assets			
Non-current (fixed) assets:			
Property	300		
Vehicles	45	Value at cost less depreciation	
Equipment	67	Value at cost less depreciation	
Intangible assets	30		
	442		
Current assets:			
Inventories	34		
Trade receivables	28		
Cash	4	Cash held in the business and in bank accounts	
	66		
Total assets	508	This figure should balance with total equity and liabilities	
Equity and liabilities			
Current liabilities:			
Trade payables	42		
Short-term loans	31	These loans will include the company's overdraft with the bank and provisions to pay tax and dividends	
	73		
Non-current liabilities:			
Bank (long-term) loans	125		
	125	other non-current liabilities might include debentures issued by the company	
Total liabilities	198		
Shareholders' equity:			
Share capital	200		
Retained earnings reserve	110	the cumulative value of the company's annual retained earnings/profit	
Equity	310		
Total equity and liabities	508	Balanced with total assets figure	

Points to note:

- Companies must publish the statement of profit or loss and the statement of financial position for the previous financial year for easy comparison. These are not included in the above examples for clarity.
- The titles of both accounts are crucial as they identify the account and the company
- While the statement of profit or loss covers the entire financial year, the statement of financial position reflects the company's value at a specific moment, typically at year-end

Non-current assets

- Common examples of fixed assets include land, buildings, vehicles, and machinery. These tangible assets have physical existence and typically decline in value over time (this is known as depreciation).
- Businesses can own intangible assets, which are not visible but add value. **For example** patents, trademarks, copyrights, and goodwill.
- **Important points about intangible assets:**
  - Difficult to value
  - According to accepted accounting rules, statements of financial position do not record intangible assets unless acquired through a takeover or merger.
  - For many companies, especially in the knowledge-based economy, intangible assets are the primary source of future earnings, including those in scientific research, publishing, music, and well-known brands
  - The market value of companies with significant intangible assets often exceeds their net asset value
- Intangible assets like patents and copyrights are referred to as intellectual capital. They enhance a business's market value by increasing the total value of its assets
- The reputation and prestige of an established business add value beyond its physical assets, known as goodwill. Goodwill typically appears on a statement of financial position only when a company acquires another at a cost exceeding its net assets. It usually doesn't show on accounts because business reputation can diminish quickly, such as during product safety scares
- Disputes can arise among accountants regarding the valuation of intangible assets, such as well-known brand names. There is room to adjust the value of these and other intangibles on the statement of financial position to better reflect the company's status. This practice is a form of window dressing that can compromise the objectivity of published accounts.

Current assets

- Current assets are crucial for a business as they significantly impact liquidity
- Examples include inventories, trade receivables (debtors who purchased on credit), and cash/bank balances

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

Current liabilities

- **Examples include trade payables (credit from suppliers), bank overdrafts, unpaid dividends, and unpaid taxes**

Net current assets

- Net current assets = current assets - current liabilities

Net assets

- Net assets is the difference between total asset and total liability

Non-current liabilities

- Non-current liabilities are long-term loans owed by the business, payable over more than one year
- Examples include loans, commercial mortgages, and debentures
- The ratio of non-current liabilities to total capital employed is a key measure of the risk undertaken by the company's management

Shareholders' equity

- This is sometimes called shareholders' funds or equity
- It includes the capital initially invested by shareholders (share capital) plus retained earnings, also known as reserves
  - reserves = shareholders' equity - share capital
- Other reserves may appear on the statement of financial position if a company believes its fixed assets have increased in value (revaluation reserve) or if it sells shares above their nominal value (share premium reserve). Shareholders' equity represents the permanent capital of the business and is not repaid to shareholders unless the company ceases trading, unlike loans, which are repaid to creditors.
- A common misunderstanding about reserves is that they are cash reserves available for financing. They are not. Retained earnings result from profits not distributed as taxes or dividends and have already been reinvested in the business through asset purchases. Therefore, retained earnings are not liquid funds. The only cash available in the business is shown under 'cash' in the current assets section.

Amendments to statements of financial position

- When preparing a new statement of financial position, it is to common start with the previous year-end statement and make necessary amendments.
- The table below shows some of the possible amendments and effect on statement of financial position
- A balancing double-entry adjustment is then needed to ensure it balances (total assets = shareholders' equity + liabilities)

Cause of amendment	Impact on statement of financial position	Balancing entry in the account
Sale of inventories for cash for the same price as valued in the accounts	Value of inventories falls	Cash balance increases
Sale of inventories for cash at a higher price than valued in the accounts	Value of inventories falls	Cash balance increases. Shareholders' equity increases by the value of the profit recorded
Depreciation of equipment	Value of non-current assets falls	Shareholders' equity falls as the company is 'worth less' than before
Intangible assets, such as goodwill, are re-valued	Value of non-current assets increases	Value of shareholders' equity increases
Trade payables ask for immediate payment	Value of trade payables falls	Cash balance falls
Additional shares are sold and the share capital raised is used to buy property	Value of share capital increases under shareholders' equity	Value of property in non-current assets increases

The relationships between items in the statement of profit or loss and the statement of financial position

- Though these two are separate financial accounts, they have important links

Change on statement of profit or loss	Change on statement of financial position
Retained earnings are made	Shareholder equity increases. Cash increases (if retained earnings are in cash form)
Loss is made	Shareholder equity decreases. Cash falls or non-current liabilities will rise to make up the loss
Non-current assets are depreciated, recorded as an expense	Value of non-current assets decreases. Shareholder equity decreases
Value of closing inventory is reduced as it is out-of-date; increasing cost of sales. Gross profit and retained profit decreases	Inventory valuation decreases. Shareholder equity decreases

1.4. Inventory valuation

The difficulties of valuing inventory

- Changing Costs: the value of raw materials or goods may go up or down. making it harder to have reliable values.
- Damaged or Obsolete goods: Some inventory depreciates or gets damaged, making it harder to know how much it's still worth.
- Choosing a Method: businesses must choose a method like FIFO, LIFO, or weighted average. Each gives a different value and affects profits and taxes.

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

- **Counting Mistakes**: Physical counts of inventory could be in error due to theft, loss, or mistake.
- **Estimates:** Inventory is sometimes estimated instead of being counted, so estimates are inaccurate.
- **Returns and Discounts**: Customer returns or discounts from suppliers make inventory harder to track and estimate accurately.

The net realisable value method

- Inventories are valued on the financial statement at either their **purchase price (historical cost)** or **net realizable value (NRV)**, *whichever is lower*
  - **net realisable value = the amount for which the existing inventory can be sold – cost of selling it**
- It is used on financial statements **only when NRV is below historical cost**
- Consider these examples:
  - **Example 1:** A shoe shop buys ten pairs of shoes at **10 dollars** each. By year-end, three pairs remain unsold and out of fashion, with an estimated sale price of **8 dollars** each, setting their NRV at **24 dollars**. This lower NRV, not the original **30 dollars**, should appear on the financial statement. The conservatism principle dictates recording losses as soon as they are anticipated.
  - **Example 2:** A furniture retailer has a damaged dining table, originally bought for **60 dollars**, that requires a **20 dollar** repair. After repair, the table could sell for **70 dollars**, but it should not be valued at **70 dollars** (assuming profit) or **60 dollars** (ignoring damage). The NRV is 70 - 20 = 50, which is lower than the historical cost and thus becomes its value on the financial statement.

1.5. Depreciation

- **Assets decline in value for two main reasons:**
  - Normal wear and tear
  - Technological obsolescence

Role of depreciation in the accounts

- Nearly all fixed/non-current assets depreciate over time, so recording each year's depreciation cost on the annual income statement seems reasonable. This approach addresses both issues mentioned above.
  - Assets retain some value on the financial statement until fully depreciated or sold, shown as net book value
    - **NBV = original cost - accumulated depreciation**
  - Profits are adjusted by each year's depreciation, ensuring accurate profit figure

How depreciation is calculated: the straight line method of depreciation

- There are multiple ways to calculate depreciation, however, for this course, you only need to understand the **straight line method** of calculating depreciation. This method's title reflects how depreciation is calculated.
  - Annual depreciation is calculated by this formula:
    $\frac{\text{original cost of asset - expected residual value}}{\text{expected useful lie of asset (years)}}$
- **To calculate annual depreciation, you need:**
  - The asset's original cost
  - The expected useful life
  - The estimated residual value at the end of its life.
- **Example:** A business buys three computers at **3000 dollars** each, with an expected lifespan of four years and an estimated residual value of **200 dollars** per computer. Using straight-line depreciation, the annual depreciation charge will be:
  $\frac{9000-600}{4} = \frac{8400}{4} = 2100$
- Each year for the four-year lifespan, a depreciation charge of **2100 dollars** should be recorded as overhead expenses on the profit and loss statement. On the financial statement, this amount is deducted from the computers' value. After four years, each computer will be valued at **200 dollars**. The table below shows the decline in net book value over this period.

Year	Annual depreciation charge	NBV of the three computers
Present	0	$9000
1	$2100	$6900
2	$2100	$4800
3	$2100	$2700
4	$2100	$600

- If the computers are sold at the end of the fourth year for more than their residual value, a profit is recorded on the profit and loss statement. For example, if sold for **900 dollars**, the business gains **300 dollars**. However, if scrapped due to obsolescence, a **600 dollars** loss on disposal is recorded.

Straight line depreciation: an evaluation

- The straight-line method of depreciation is easy to calculate and understand, making it popular among limited companies. You can find this method commonly used in the annual accounts of public companies
- However, it relies on estimates for life expectancy and residual value, which can lead to inaccurate depreciation charges if incorrect
- Additionally, assets like cars, trucks, and computers often depreciate more rapidly in the first two years, a trend not captured by the straight-line method, which applies a constant annual charge

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

- Lastly, as assets age, repair and maintenance costs typically increase, reducing profitability, but this is not reflected in the fixed depreciation charge of the straight-line method

Impact of depreciation and the financial statement

- The annual depreciation charge impacts the main financial statements in the following ways:
  - As a business expense, it reduces profit from operations on the statement of profit or loss
  - It decreases the net book value of non-current assets, leading to a lower value on the statement of financial position

ZNOTES

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.